

Micron Technology FSM + DCF — Model Update Log

May 2026 Update | Tyler Spencer

This document records all material changes made to the Micron Technology Financial Statement Model in the May 2026 update, including the addition of a full DCF valuation tab. Changes incorporate Q1 and Q2 FY2026 actual results, management guidance from earnings calls, and third-party industry data where noted. All figures in millions unless otherwise stated.

Revenue Build

Area	Change Made	Source / Rationale
DRAM Revenue	Revised DRAM revenue upward. FY2026 anchored to Q1 actual (\$10.8B DRAM) and Q2 actual (\$18.8B DRAM) per SEC 10-Q filings. Full-year FY2026 DRAM = \$88.3B.	Micron Q1 FY2026 10-Q; Q2 FY2026 10-Q
NAND Revenue	Revised NAND revenue upward. FY2026 anchored to Q1 actual (\$2.7B NAND) and Q2 actual (\$5.0B NAND). Full-year FY2026 NAND = \$22.1B.	Micron Q2 FY2026 10-Q
Bit Demand Growth — DRAM	FY2026: 45% bit growth (sourced from 10-Q: 'mid-40% range increase in bit shipments'). FY2027: 20%. FY2028: 30%. FY2029: 25%. FY2030: 20%.	Q2 FY2026 10-Q six-month disclosure; TrendForce industry estimates for FY2027+
ASP Change — DRAM	FY2026: +113% ASP (sourced from 10-Q: 'mid-110% range increase in average selling prices'). FY2027: +20%. FY2028: -22%. FY2029: -25%. FY2030: -10%.	Q2 FY2026 10-Q six-month disclosure; TrendForce normalization thesis for FY2028+
Bit Demand Growth — NAND	FY2026: 30% bit growth (sourced from 10-Q: 'approximate 30% increase in bit shipments'). FY2027: 20%. FY2028: 30%. FY2029: 25%. FY2030: 20%.	Q2 FY2026 10-Q six-month disclosure
ASP Change — NAND	FY2026: +100% ASP (sourced from 10-Q: 'slightly more than 100% increase in average selling prices'). FY2027: +15%. FY2028: -25%. FY2029: -25%. FY2030: -10%.	Q2 FY2026 10-Q six-month disclosure

Gross Margin

Area	Change Made	Source / Rationale
Gross Margin Assumptions	Revised upward from original model peak of 51.6%. New assumptions: FY2026: 75% (Q1 actual 56.8%, Q2 actual 74.4%, Q3 guided ~81%). FY2027: 80% (pricing peak, HBM mix tailwind). FY2028: 65% (normalization begins).	Q2 FY2026 10-Q; Q2 FY2026 earnings call; TrendForce industry analysis; SK Hynix and

Area	Change Made	Source / Rationale
	FY2029: 55%. FY2030: 50% (structural floor — HBM mix and long-term agreements prevent return to prior troughs).	TSMC comparable margin floors

Income Statement

Area	Change Made	Source / Rationale
Stock-Based Compensation	Changed methodology from growing SBC with revenue (which created a 3x mechanical spike in FY2026) to a more conservative 10% annual growth rate. FY2025 actual: \$972M. FY2026: \$1,069M. Steps up 10%/yr through FY2030.	Modeler judgment — conservative relative to 2-year historical average growth
Tax Rate	FY2023 historical tax rate display corrected to show N/M (not meaningful — loss year with negative pretax income). Forecast tax rate held flat at 16.5% per Q2 FY2026 guidance.	Q2 FY2026 earnings call guidance

Balance Sheet

Area	Change Made	Source / Rationale
Common Stock / APIC Classification	Corrected SBC flow from Common Stock line to Additional Paid-in Capital. Common Stock now held flat at \$127M (par value). APIC grows by annual SBC amount each year.	Accounting classification correction; confirmed against Q2 FY2026 10-Q equity statement
Long-Term Debt	Updated from flat \$14,017M to a declining schedule. FY2025 actual: \$14,017M. FY2026: \$9,017M (\$5B paydown reflecting actual Q1 + Q2 paydowns plus H2 assumption). FY2027-FY2030: \$2B/yr paydown. Ending FY2030 balance: \$1,017M.	Q1 prepared remarks (Q1 debt reduction \$2.7B); Q2 prepared remarks (\$1.6B reduction, Q2 closing balance \$10.1B)
Dividends	Updated from flat \$527M/yr to \$685.1M/yr reflecting the 30% quarterly dividend increase announced in Q2 FY2026 to \$0.15/share (\$0.60 annualized x ~1,125M diluted shares). Held flat at \$685.1M across the forecast period.	Q2 FY2026 earnings call: 'board approved 30% increase in quarterly dividend to \$0.15 per share'

CapEx & D&A

Area	Change Made	Source / Rationale
Capital Expenditures	FY2026: \$26B (management guided >\$25B; \$26B is a conservative buffer). FY2027: \$36B (management guided construction CapEx to increase by over \$10B year-over-year).	Q2 FY2026 prepared remarks: 'construction-related CapEx expected to increase by over \$10 billion

Area	Change Made	Source / Rationale
	FY2028-2030: Capped at \$40B/yr — prior version was stepping mechanically to \$66B with no management sourcing.	year-over-year in fiscal 2027'; modeler judgment for FY2028-2030 cap
D&A as % of CapEx	Stepping assumption maintained at +5%/yr from FY2025 base of 52.2%. Reflects lag between capital spend and depreciation as new fabs ramp. FY2026: 57.2%. FY2027: 62.2%. FY2028: 67.2%. FY2029: 72.2%. FY2030: 77.2%.	Modeler judgment based on fab construction timeline and typical depreciation lag

Interest Schedules

Area	Change Made	Source / Rationale
Interest Income Formula	Corrected formula from FY2027 onward. Previously H169-K169 used only prior year EOP cash balance rather than average of BOP and EOP. Now correctly calculates as AVERAGE(prior EOP, current EOP) x 4% rate across all forecast years.	Formula audit — prior version understated interest income by ~50% in FY2027-FY2030
Interest Expense — LTD	Updated LTD interest expense schedule to reflect declining balance from paydown. Interest now calculated on outstanding balance x 5.25%. FY2026: \$619.9M. FY2027: \$423.4M. FY2028: \$318.4M. FY2029: \$213.4M. FY2030: \$108.4M.	Modeler update flowing from LTD paydown schedule
Capitalized Interest	Removed capitalized interest line (\$321M flat assumption in prior version). Gross interest expense now flows directly to income statement without offset.	Simplification — capitalized interest treatment varies and is not material to valuation outputs

Cash Flow Statement

Area	Change Made	Source / Rationale
Share Repurchases Sign	Corrected sign error in CFS Row 97 and Retained Earnings Row 129. Buybacks now correctly flow as negative (\$1,200M) to cash from financing activities and as a reduction to retained earnings. Prior version had repurchases flowing as positive values.	Formula audit — sign error introduced in prior buyback update

EPS & Valuation

Area	Change Made	Source / Rationale
Share Repurchases	Increased from \$306M/yr to \$1,200M/yr. Q1 FY2026 actual: \$300M. Q2 FY2026 actual: \$350M. \$1,200M annualized run rate is consistent with CHIPS Act-constrained pace and management commentary signaling significant capacity for opportunistic repurchases.	Q1 FY2026 prepared remarks (\$300M); Q2 FY2026 prepared remarks (\$350M, CHIPS agreement referenced)
Target P/E	FY2026: 12x (market applies compressed multiple to peak earnings anticipating normalization). FY2027: 12x. FY2028: 14x (re-rating begins). FY2029: 16x. FY2030: 18x (approaching 10-year historical average of 18.3x as earnings stabilize).	Current forward P/E ~7x; 10-year historical trailing average 18.30x; modeler judgment on re-rating path

DCF Valuation

Area	Change Made	Source / Rationale
DCF Tab Added	Full DCF valuation tab built. Includes UFCF build (NOPAT + D&A + WC change + CapEx), WACC build, stub year and mid-year discounting, two terminal value approaches (perpetuity and EBITDA multiple), and equity bridge to share price.	New addition to model; methodology from WSP DCF curriculum
WACC Components	Risk-free rate: 4.263% (10-year US Treasury). Equity Beta: 1.7. Equity risk premium: 5.0%. Cost of Equity: 12.76%. After-tax cost of debt: 4.38%. D/V: 1.4%. E/V: 98.6%. WACC: 12.65%.	Standard CAPM methodology; market data for Rf and ERP; equity beta reflects memory cyclicity
Terminal Growth Rate	Perpetuity growth rate of 3.0%. Sits above long-term US GDP (~2-2.5%) and below historical semiconductor industry growth (~5-7%). Cross-checked against CFA Sustainable Growth framework: implied ROE x retention of 3% achievable at normalized ROE of ~15% with 20% retention.	Modeler judgment; CFA Level I curriculum for cross-check methodology
Exit EBITDA Multiple	13.0x exit EBITDA multiple. Anchored to Micron's 10-year median EV/EBITDA of 6.72x with structural premium for HBM mix shift. Reflects: (1) higher mid-cycle floor than historical given HBM and long-term agreements, (2) modest discount to current trailing 15.1x given normalization expectation, (3) consistent with TSMC and SK Hynix peer multiples at mid-cycle.	GuruFocus historical EV/EBITDA data; peer comparable analysis
Net Debt Bridge	Constructed full net debt bridge using Q2 FY2026 10-Q balance sheet. Gross debt: \$10,059M. Cash & marketable securities: \$16,700M. Non-marketable equity investments: \$183M. No convertible debt, preferred stock, or	Q2 FY2026 10-Q balance sheet; Q2 FY2026 prepared remarks for cash + ST investments balance

Area	Change Made	Source / Rationale
	noncontrolling interests. Net cash position of \$6,824M (added to EV to derive equity value).	
Sensitivity Tables	Added two-variable sensitivity tables on equity value per share. Perpetuity: WACC (11.6%-13.6%) x Long-term growth (2.0%-4.0%). EBITDA multiple: WACC (11.6%-13.6%) x Exit multiple (12.0x-14.0x). Output ranges \$928-\$1,313 (perpetuity) and \$956-\$1,118 (EBITDA).	New addition for valuation robustness
Football Field Summary	Added basic football field showing DCF valuation ranges (perpetuity and EBITDA approaches) alongside 52-week market high/low (\$92.22-\$916.76). Provides visual triangulation of valuation conclusions.	New addition for portfolio presentation

Formatting & Presentation

Area	Change Made	Source / Rationale
Gridlines and Source Notes	Removed gridlines from FSM Forecast and Revenue Build sheets. Removed all source notes from column M of FSM Forecast sheet to support a cleaner presentation.	Presentation formatting
Units Header	Corrected from '\$ in thousands except per share' to '\$ in millions except per share'.	Error correction — confirmed by FY2025 revenue of \$37,378 matching actual \$37.4B
Share Price & Date	Updated share price from \$185.69 (October 2025) to \$895.88 dated May 26, 2026, reflecting current market price.	Current market data
Sheet3 Deletion	Deleted empty Sheet3 from the workbook.	Workbook cleanup
Scenario Analysis — Weak Case SG&A	Corrected wrong cell reference in weak case SG&A formula (\$F\$170 referencing empty interest section cell) to \$F\$243. Previously weak case SG&A silently equaled base case with no variance applied.	Formula audit

Summary

Total changes documented: 32

Sections updated: Revenue Build, Gross Margin, Income Statement, Balance Sheet, CapEx & D&A, Interest Schedules, Cash Flow Statement, EPS & Valuation, DCF Valuation, Formatting & Presentation

Key drivers of this update:

- Revenue build anchored to Q1 and Q2 FY2026 actuals from SEC 10-Q filings, replacing prior estimates

- Gross margin assumptions revised upward from 51.6% peak to 75-80% peak; structural floor raised to 50% from 27%
- Full DCF valuation tab added with WACC build, two terminal value approaches, sensitivity tables, and football field
- SBC methodology corrected to 10% annual growth rather than revenue-linked (which caused a 3x spike)
- LTD paydown schedule added reflecting \$4.3B in actual Q1/Q2 paydowns and \$2B/yr forward assumption
- Interest income formula corrected to use average BOP/EOP cash balances across all forecast years
- Capital returns updated: dividends to \$685.1M (+30%), buybacks to \$1,200M/yr per CHIPS-constrained pace
- CapEx FY2028-2030 capped at \$40B replacing mechanical step to \$66B that lacked management sourcing
- Accounting correction: SBC reclassified from Common Stock to APIC per standard equity accounting
- Cash flow statement buyback sign error corrected
- Formatting: gridlines removed, source notes removed, units header corrected, Sheet3 deleted, share price updated to \$895.88